more cost-effective than constantly finding new customers.
Example: If a company has 500 customers and kept 470, the retention rate is 94% - a solid result for most industries
Source: HubSpot (2024)

(26) Net Promoter Score (NPS)
Definition: NPS measures how likely customers are to recommend your business, on a 0-10 scale. Score of 9-10 are Promoters, 7-8 are Passives and 0-6 are Detractors. NPS = % Promoters minus % Detractors. It gives a quick read on customer loyalty
Example Apple consistently scores above 70 on NPS meaning most customers actively recommend Apple to others, reducing the need for paid advertising
Source: Harvard Business Review (2022). The one Number you Need to Grow. hbr.org

(27) Average Order Value (AOV)
Definition: AOV is the average amount spent per order - total revenue divided by total orders. Increasing AOV grows revenue without needing more customers, which is why it is a popular e-commerce goal
Example: If woolworths online made R 2000 000 from 5000 orders, AOV is R400. Offering free delivery above R500 could nudge customers to spend more.
Source: Investopedia (2024). Average Order Value. www.investopedia.com.